

N.Y. Rys. Co. became bankrupt, the lease was terminated and the traction lines taken back and operated by the N.Y. & Harlem. In 1932 a new lease of these properties for 999 years was negotiated with N.Y. Rys. Corp. (successor to the former lessee). The only consideration was a lump payment of \$450,000, so that this transaction appears virtually identical with a sale of the street railway lines for the sum mentioned.

3. Some N.Y. & Harlem stockholders endeavored to obtain large additional payments from the N.Y. Central on the ground that the valuable "air rights" (or rights to build over the Harlem's right-of-way) were not covered by the lease and had to be paid for separately. The speculative glamor of this suit raised the price of the shares to as high as 505 in 1928, representing less than a 1% dividend return. The suit was dismissed in 1932, by which time the price had fallen to 82¹/₄. (Price at the end of 1939 was 110.)

The Mobile & Ohio situation has some similar features of interest, *viz.*:

1. In 1901, Southern Ry. Co. issued "Mobile & Ohio Stock Trust Certificates" in exchange for nearly all the Mobile & Ohio capital stock. It agreed to pay 4% on these certificates in perpetuity.

2. Mobile & Ohio became prosperous and from 1908 to 1930 paid the Southern Ry. 140% in dividends. The Interstate Commerce Commission and the State of Alabama endeavored to compel the Southern to give up control of the Mobile on the ground that it violated antitrust laws. At the same time holders of Stock Trust Certificates started action looking either to the return of the deposited stock or to obtaining larger dividends on their certificates. The price of these advanced to 159¹/₂ in 1928, in anticipation of the legal moves.

3. The collapse of earnings after 1929 forced Mobile & Ohio into receivership in 1932. Interest due Sept. 1 on its bonds was defaulted, but holders of the *stock* trust certificates have nonetheless regularly received the 4% guaranteed by Southern Ry. In 1932 the price of the certificates had fallen as low as 3¹/₂, but this reflected mistrust of Southern's financial capacity rather than any question regarding the legality of the obligation to pay the 4% dividend. Mobile & Ohio was merged with Gulf, Mobile, Northern R.R. in 1940, but this development did not affect the status of the guaranteed stock-trust certificates.

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INDUSTRIAL OFFICE BUILDING COMPANY REORGANIZATION

The history of this enterprise illustrates in striking fashion the difference between the theoretical rights and the actual experience of a first-mortgage bondholder.